2. In your opinion list out all success factors for new generation bank like ICICI. How technology played in their business success ?

3. Prepare a long-term strategy for the preventing electronic fraud and enhancing the confidence level of new age banking customers.

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MBA (3rd Semester)

Examination, Nov.-Dec., 2014

Branch : Management

SERVICES MARKETING (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : Section A – Attempt any 2 from each Part, each consist of 6 marks. Section B is compulsory, consist of 20 marks.

Section-A

Q. 1. (i) Explain the salient features of service and how it differs from goods.

(ii) Review each of the following ways in which services can be classified. How would you

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explain the usefulness of each framework to managers ?

(iii) Give examples of how, during the past years, Internet and telecommunications technologies, such as interactive voice response systems (IVRs) and mobile commerce (m-commerce) have changed some of the services that you use.

Q. 2. (i) Elucidate the components of service package. How service delivery influence the customers quality perception ?

(ii) How are customers expectation formed ? Explain the difference between desired service and adequate service with reference to a service experience you have had recently.

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(iii) Write note on :

(a) Waiting line strategies

(b) Managing Demand and Capacity

Q. 3. (i) How is branding used in service marketing ? Describe briefly the importance of personal selling and public relation in service marketing.

(ii) (a) Explain service segmentation with example.

(b) Describe briefly the importance of physical evidence in service marketing.

(iii) How do you select the channel of distribution for selling the ticket for the following events ?

(a) Award Night

(b) Fashion Show

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Q. 4. (i) What are the causes of service quality gaps ? How can the gap between customer's expectations and perceived service be resolved ?

(ii) Explain service recovery system ? Why should a service recovery strategy be proactive and planned and require trained and empowered staff ?

(iii) What are the objectives of customer feedback systems ? What customer feedback collection tools do you know and what are the strengths and weaknesses of each of these tools ?

Q.5. (i) Summarize the major trends that influence the marketing of services. How can marketing help in coping up with the challenges posed by these trends ?

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(ii) Define Supplementary Services. How process and service delivery is important for service providers ?

(iii) The travel agency business is losing business to online bookings offered to passengers by airline websites. Identify some possible focus option open to travel agencies wishing to develop newlines of business that would compensate for this loss of airline ticket sales.

Section-B

A Case Study

FACE it, the efficacy of the credit card service in India isn't really the best in the world. But does that mean you surrender the card and deny yourself the advantages of using the plastic card ? Not at all. Just as you don't lock yourself at home to avoid trouble or a road mishap, you

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don't impose a blanket ban on the use of the credit card, if you have one, for there is no meaning in keeping it in a locker for safe custody and paying the annual subscription.

1. Electronic fraud

Highest percentage of frauds falls under the 'card not present' type of transactions and counterfeit cards. Though skimming is not happening in India, skimmed cards are in circulation. A technology to prevent skimming is already being pilot tested by Master Card.

There's no reason for us not to use credit cards online, provided we take a few steps to ensure the security of our transaction. All that's needed online is the credit card number and date of birth. The online vendor needs neither your signature no physical access to the card. Your date of birth could generally be known. So, you need to be doubly careful to ensure that your credit card number doesn't fall into the hands of stranger.

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2. Higher penetration rates of Credit card

Some things money can't buy. But for everything else there is MasterCard. So goes the catchy slogan of MasterCard, one of the major credit cards in circulation in the world. True to the slogan the convenience of a credit card needs no description. But it can be misused when it reaches the wrong hands. Consider this to know the magnitude of the problem – the total loss to MasterCard last year mounted to a staggering $369 million. India is no exception to credit card fraud. The only consolation being that most of the frauds are small in value and can be easily checked.

"The highest percentage of frauds in credit cards in India happens in the mail order telephone order (MOTO) type," said Mr. Rajiv Duggal, Director (Security & Risk

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Management), South Asia, MasterCard International said in a conference recently. These are the typical 'card not present' type of transactions where the card owner furnishes the card details in an application form or conveys it over phone.

In a typical mail order application the card owner furnishes card details like the card number, his name, date of birth, signature and card expiry date apart from this address where the product has to be delivered. The merchant sends these details to the issuing bank for approval before delivering the product to the customer. In a clean case the process goes to completion without a glitch. "A fraud when committed easily comes to light if the issuing bank checks the address given on the application with the owner's actual address," said Mr. Duggal. This works on

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the assumption that the impersonator would give his address and not the actual owner's address. "So this type of fraud can be easily checked and prevented if all concerned banks look for the inconsistency," Mr. Duggal explained. Technology to prevent such crimes is already in place but very often the impersonator gets away with the crime due to lack of attention to details.

Compared to MOTO, frauds due to lost cards is less and is primarily due to customer's fault. "What can you say when the customer writes the personal identification number (PIN) on the reverse of the card and then loses it. It's akin to losing a signed blank cheque," a banker comments. Frauds due to card loss and counterfeit are around 13.4 basis points in India against a global value of 7.5

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3. Validation mechanisms

Counterfeit cards are very rampant abroad and there are many techniques used to make one. The simplest one is to erase the original embossed number on the card. "Even a hair drier can do the job," said Mr. David Garrett, Senior Industry Specialist at ACI Worldwide, which provides the technology to identify and prevent card frauds. The next step is to emboss a new valid number and scratch the magnetic strip to destroy the original customer validation code (CVC1) data. CVC1 data contains all the information about the customer. https://www.csvtuonline.com

The card will not work when used in a swiping machine very commonly seen at merchant outlets. So what does the merchant do ? Typically punch the card details and the sale is completed. But is there a technology to prevent this

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too ? The CVC2 number (last three digit numbers) found on the reverse of the card can call the bluff. "But how often do merchants get in touch with the banker and the banker cross checks the CVC2 with the customer ?" quips a banker.

A more common counterfeit method again prevalent abroad is to make a new plastic with an embossed number and other details. But have a close look at your card and you will find a four-digit number printed on the card below the embossed number. This number unique to a particular bank will match the first four digits of the embossed number. "Citibank and HSBC cards are one of the widely prevalent cards in India. And you will find one of the two numbers printed there," Mr. Duggal said. Manufacturing the plastic with the printed numbers and embossing on it are done by two different persons. And in all likelihood the printed numbers

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will be different from the embossed numbers on the card. But does the merchant check for it every time ?

In simple terms it means catching the CVC1 data found in the magnetic strip using a wedge to a phantom terminal and transferring this to the fraud syndicate which manufacturers a counterfeit card with this CVC1 data. Though skimming is not prevalent in India. skimmed cards are in circulation here. These are typically cards whose holders are based in Canada or the U.K. Why only Canada or U.K. ? Because these countries offer the biggest credits to customers and an ethnic Indian population with similar sounding names live there. Any doubt in the merchant's mind is thus eliminated.

MasterCard is on the job again and is testing an anti-skimming Magnoprint technology to identify such cards.

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Skimmed cards can never match the magnetic particles of the original card. The technology is being pilot tested. ACI worldwide neural network technology takes care when all the available checks and balances are defeated. Neural network looks at a customer's typical usage pattern and raises a flag whenever a strange usage appears. It is now for the bank to contact the customer and verify the usage. "Somebody can only steal my card but never my usage pattern. And neural pattern will always be there to alert me of any fraud," said Mr. Garrett confidently. But till such time that these checks are in place, only customer, merchant and bank education and compliance can help prevent any problem. "After all technology cannot eliminate frauds. It can at most only minimise it," Mr. Garrett reiterated.

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4. In search of evidence

It was at this point that certain obvious facts were brought to life. Rathnam a customer in Chennai, was unable to move the court, as there was no evidence to prove that he was innocent. He contended that while the banks safeguarded their position, they did not bother to ensure that the customer's interest was well protected. He pointed out that there was no way to ascertain the genuineness of a transaction. He approached the Coimbatore Consumer Court to seek support. When they probed into the issue and sought evidence such as file pictures from the closed circuit television for proof of withdrawal from the ATM, they were told bluntly that it was a private document, and for bankers' use only.

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Later, they were informed that the images could be obtained for transactions that took place within the last fortnight, as it was unviable to store images for longer periods. So, the search for proof of withdrawal by Rathnam made no headway. Apart from the micro-encoding strip, the CCTV would help strengthen the argument, especially in spotting impersonation, in the event of the loss of a card. "What is the use of storing an image for just 15 days, when the statement is prepared at monthly intervals ?" he asks. While banks revel in technology advancements, Rathnam is unable to grapple with the situation. Technology alone cannot be blamed. Its uniqueness can be appreciated only if the loopholes are plugged.

Case Discussion Questions

1. Identify the major strengths, threats and weakness of technology based banking in India.

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